

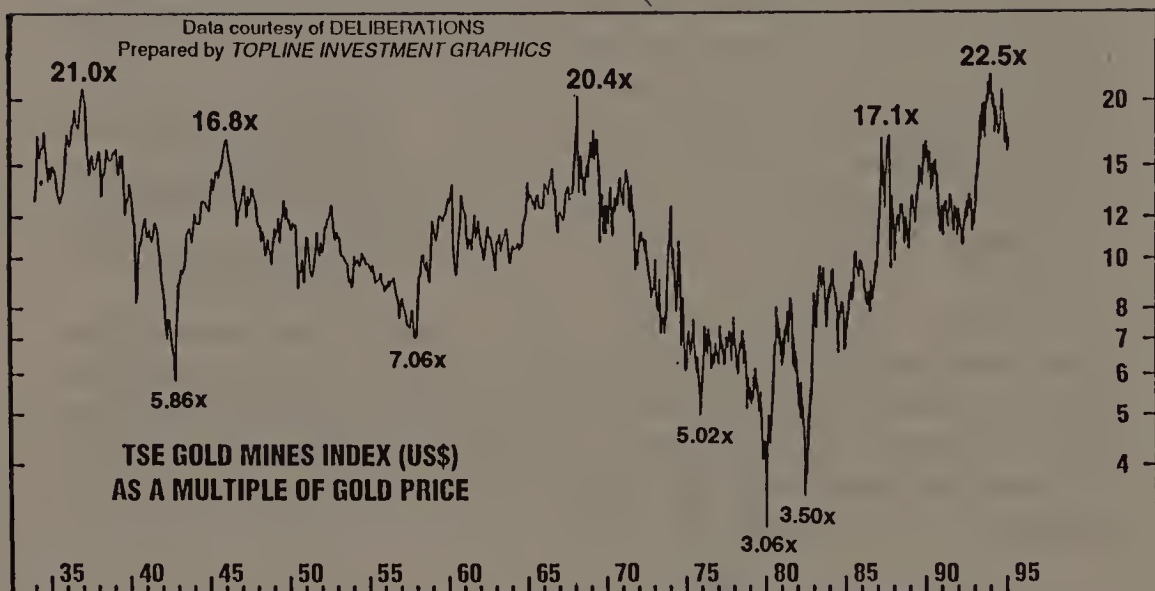


Figure 17-15

From the 1982 low, gold stock valuation has continued to move in tandem with the DJIA. It soared into a peak in 1987 and crashed, then recovered and pulled back into 1990, just as the Dow did. It has since followed the continuing rise of wave ⑤ in the DJIA. If the DJIA peaks in 1995 as Chapter 4 suggests, then the relative valuation of gold stocks should reach a final high in 1995, plus or minus a year. The all-time high valuation of January 1994 may stand, though it is more likely to be exceeded as part of the psychological peaking process in gold's 13-year triangle. Either way, the ultimate high in gold stock prices will undoubtedly, and to "disaster-hedged" investors ironically, occur within months of the final high in the Dow Jones Industrial Average.

If an inflationary period were looming, as in the late 1960s, the current high ratio would be irrelevant. A soaring precious metals market would overpower the drop in gold stocks' relative valuation so that gold stocks would still rise, as they did from 1968 to 1980. However, with so many charts pointing to deflation and to a fall in the price of gold, this scenario appears unlikely. A drop in the value of gold stocks relative to gold should prove to have a devastating effect on the prices of those stocks.